

IT Financial Management

Seller presentation

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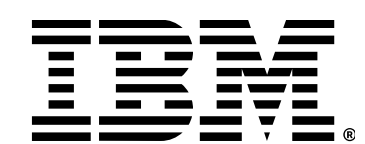
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IBM Apptio

IT Financial Management

Agenda

- Market opportunity
- Pain points and gaps
- Solution overview
- Packaging
- Target market
- Messaging framework
- Positioning and objection handling
- Competitor analysis

Market opportunity

Greater emphasis on value of IT spend

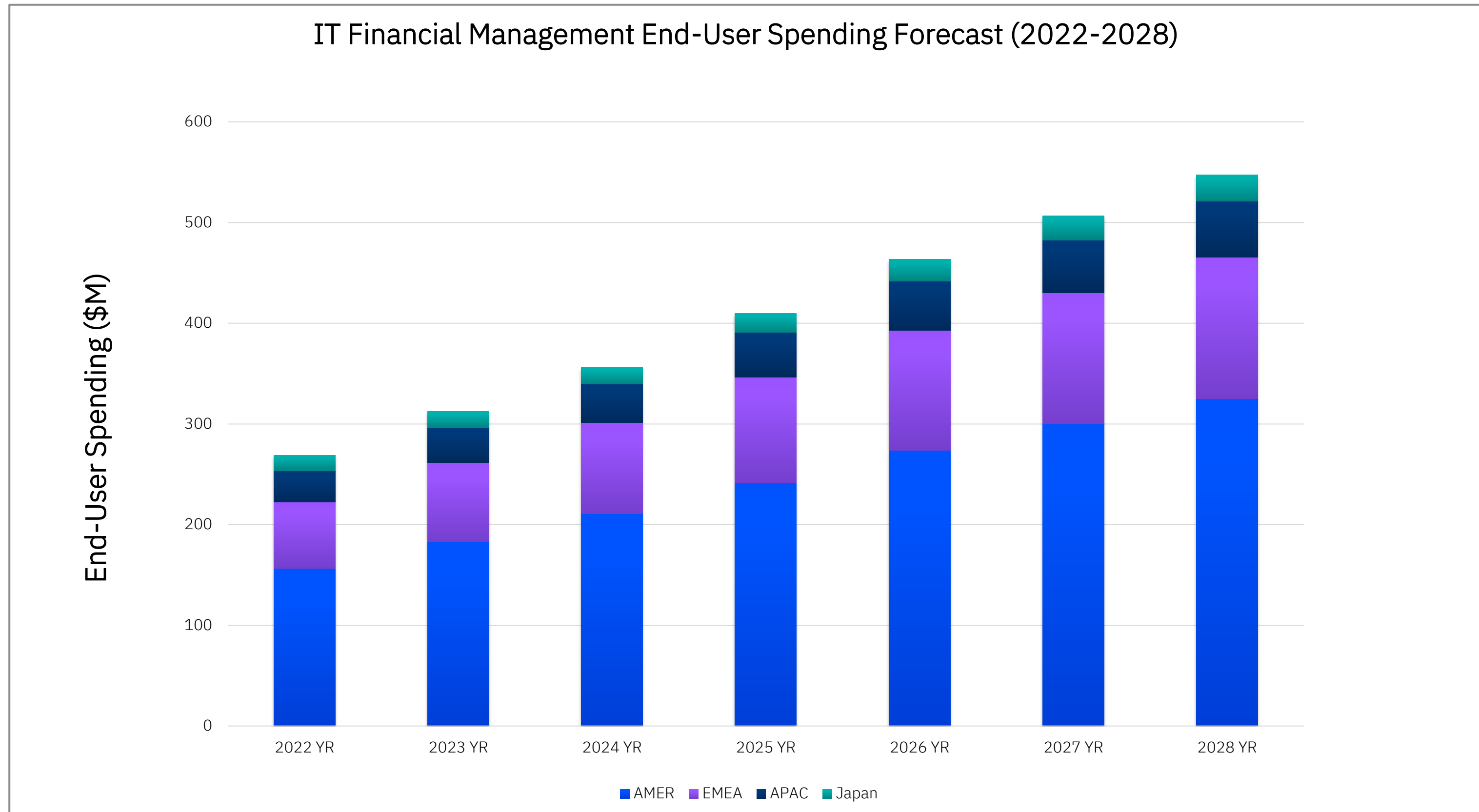
“When the strategic contribution of IT is unclear to stakeholders, CIOs frequently encounter resistance to the IT strategy and its associated investment requirements.”

Gartner 2025 CIO Digital Leadership¹

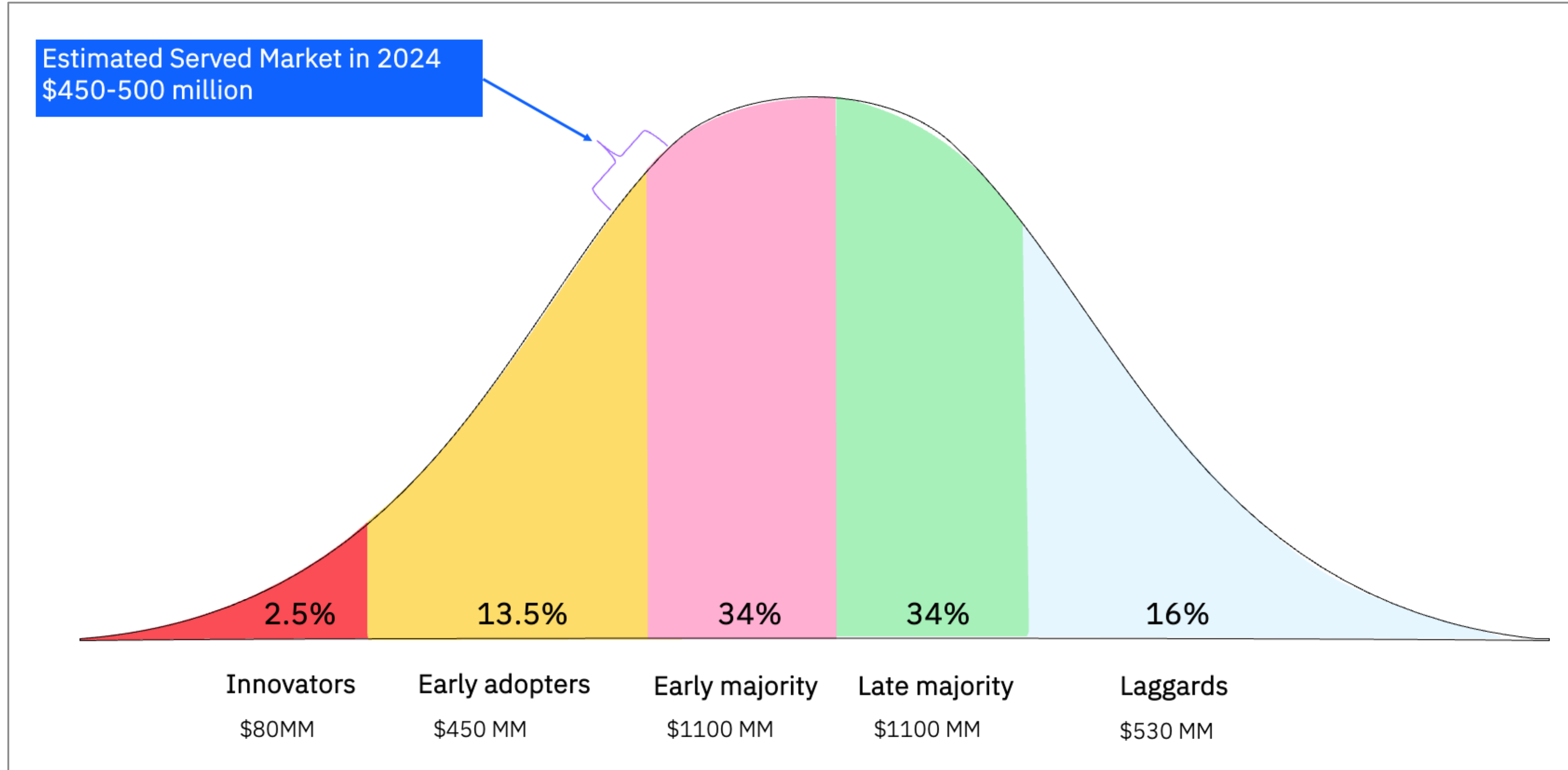
“CIOs, by their own admission, must do a lot better when it comes to realizing critical business outcomes through the deployment of digital technologies”

Gartner 2024 CIO & Technology Executive Survey²

IT Financial
Management
market
is growing
12% globally¹



The IT financial management market is advancing from early adopters to early majority and beyond¹



Assumptions for 2025:

- **\$5.5 Trillion** IT Market Worldwide (1/3 in NA)
- **\$3.3 Trillion** Potential (Less Geo relevance 40%)

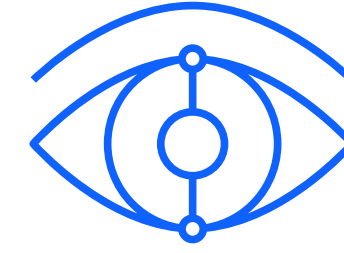
Pain points and gaps

Managing IT spend today



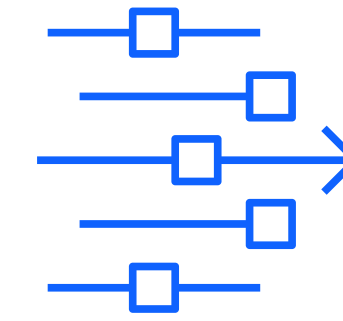
Manual and rigid process

- Processes are slow, error-prone, and heavily manual
- Decision-making is delayed due to outdated data
- Lack of consistent, real-time, and defensible financial insights



Lack of visibility into IT spends

- Inability to accurately quantify total IT spend
- Unclear where funds are being allocated
- Difficult to assess the business value of IT spend investments



Unpredictable market shifts

- Inflexibility prevents timely reallocation of resources
- Reactive rather than proactive decision-making due to lack of data agility

Data is the biggest challenge

Challenges

Data reliability is a major concern

- Information is scattered across numerous sources
- Inconsistent, outdated, and hard-to-defend data
- Real-time insights are lacking, and errors are common



Impact

Missing out on potential revenue and savings

- Difficulty in justifying IT expenditures
- Decisions are delayed and often reactive
- Missed chances to cut costs or boost efficiency
- Inability to reallocate budget to high-impact, growth-driving areas
- Poor forecasting leads to low confidence in planning¹

High risk of doing nothing

Limited visibility into IT spend

Most IT organizations understand only 40% of their Total Cost of Ownership (TCO), with 62% of CIOs reporting inadequate transparency into IT-related costs.¹

Lack of accountability and strategic alignment

Over-reliance on shared cost allocation models blurs ownership, making it difficult to trace spending or align it with business goals.

Ineffective decision-making

IT service decisions are often driven by contract or procurement cycles rather than business priorities, limiting agility and responsiveness.

Inability to measure ROI and business value

Measuring the ongoing return on IT investments is difficult or impossible, and 63% of CIOs struggle to articulate IT's business value.²

IT's strategic value is overlooked

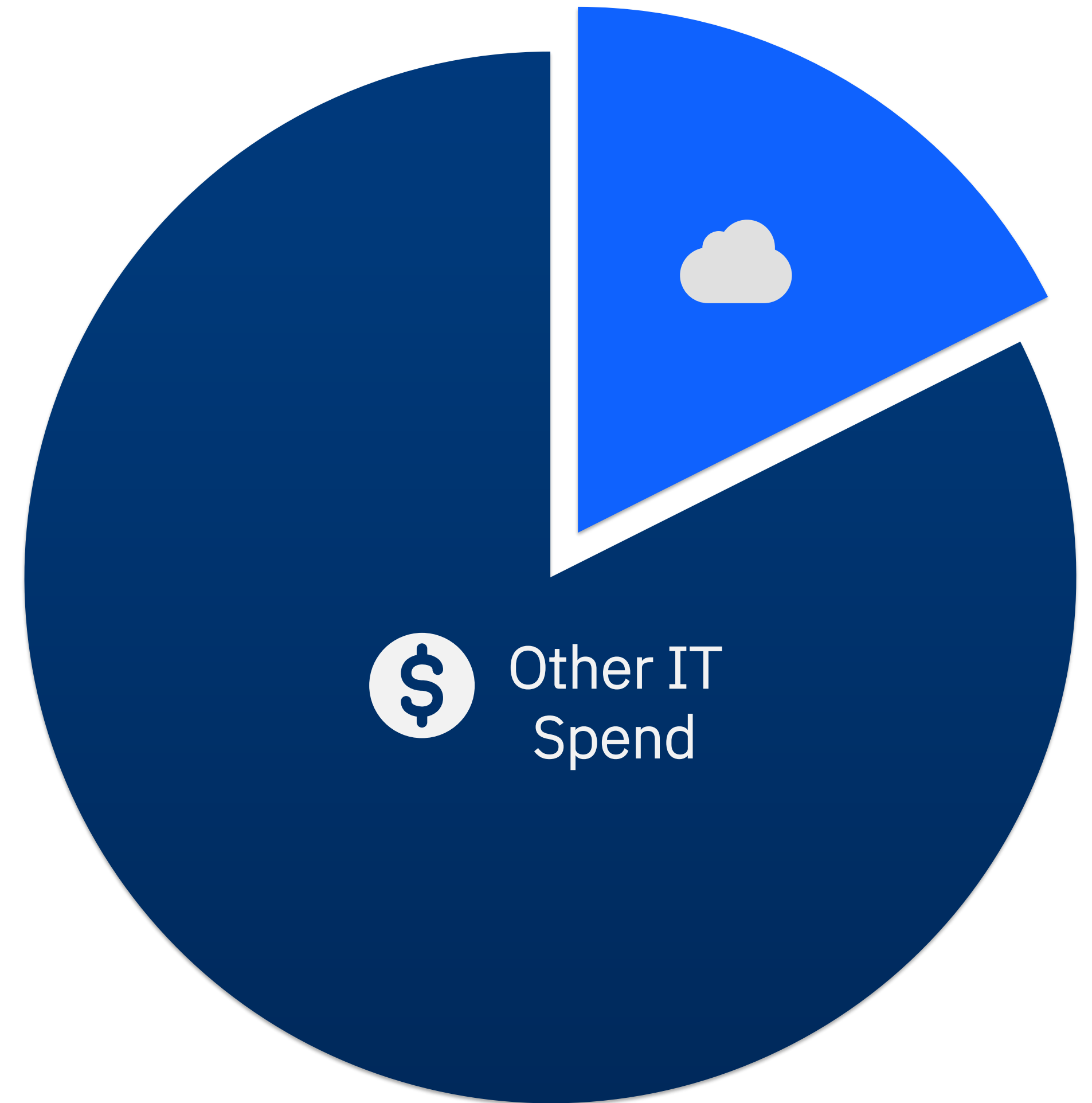
Without clear insights or demonstrated impact, IT is often seen as a cost burden rather than a value-driving partner, despite 92% of CIOs emphasizing the importance of understanding technology's business impact.³

Public cloud is

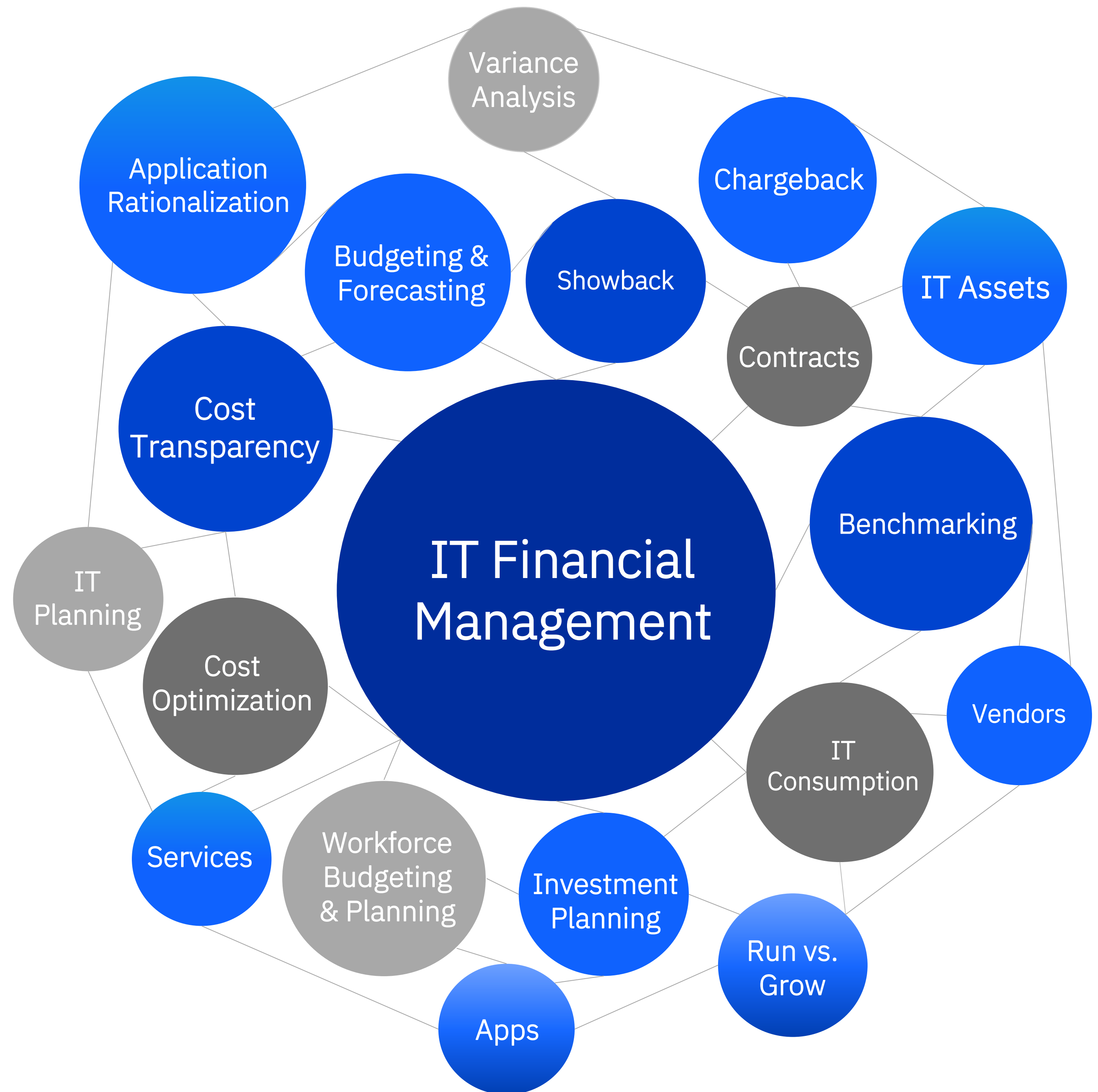
17.6%

How are organizations
managing the other

82.4% of IT costs
and investments?¹



Solve a complex situation with a simplified solution



Solution overview

ITFM versus. TBM

IT Financial Management (ITFM)

- Focus in on the budget
- Involves the financial management of IT-specific expenditures
- Covers 4 key pillars:
 - Costing
 - Planning
 - Billing
 - Benchmarking

Technology Business Management (TBM)

- Represents an evolution beyond ITFM
- Incorporates broader disciplines such as FinOps (cloud financial operations) and SPM (Strategic Portfolio Management)
- Aims to manage total IT costs across the enterprise
- Aligns IT investments with business outcomes and value

IT Financial Management

The practice of analyzing, planning and optimizing the costs and investments of IT to ensure financial transparency, alignment of all IT spending with business objectives, and to communicate the value of IT to the business.

ITFM = the right data, in the right way, to the right stakeholders



Organizations are actively adopting IT Financial Management tools to optimize IT costs and investments



ITFM drives insights across organization

Improve cost visibility, prioritize investments, and communicate value

IT Executive Leadership & IT Finance (CIO, CTO, CFO)



- Gain visibility into the total cost of all IT spend and understand the key spend drivers
- Align all IT investments to business objectives and priorities
- Communicate the value of IT to the business
- Benchmark IT spend against relevant peers
- Reduce IT risk to the business

IT Leadership & Business Relationship Manager



- Analyze, plan and optimize all IT spend across vendors, contracts, labor, projects, and more
- Understand and communicate the business value delivered by IT investments
- Make informed staffing decisions based on workforce mix and location
- Gain visibility into the business consumption of IT spend
- Manage and shift IT spend from run costs to fund change or grow investments

IT Application and Service Owners



- Gain visibility into the total cost of applications and services
- Identify opportunities for cost optimization and/or redirect spend
- Analyze business consumption of applications and services
- Influence business consumption and drive shared accountability with showback and/or chargeback
- Prioritize and balance business impacting investments

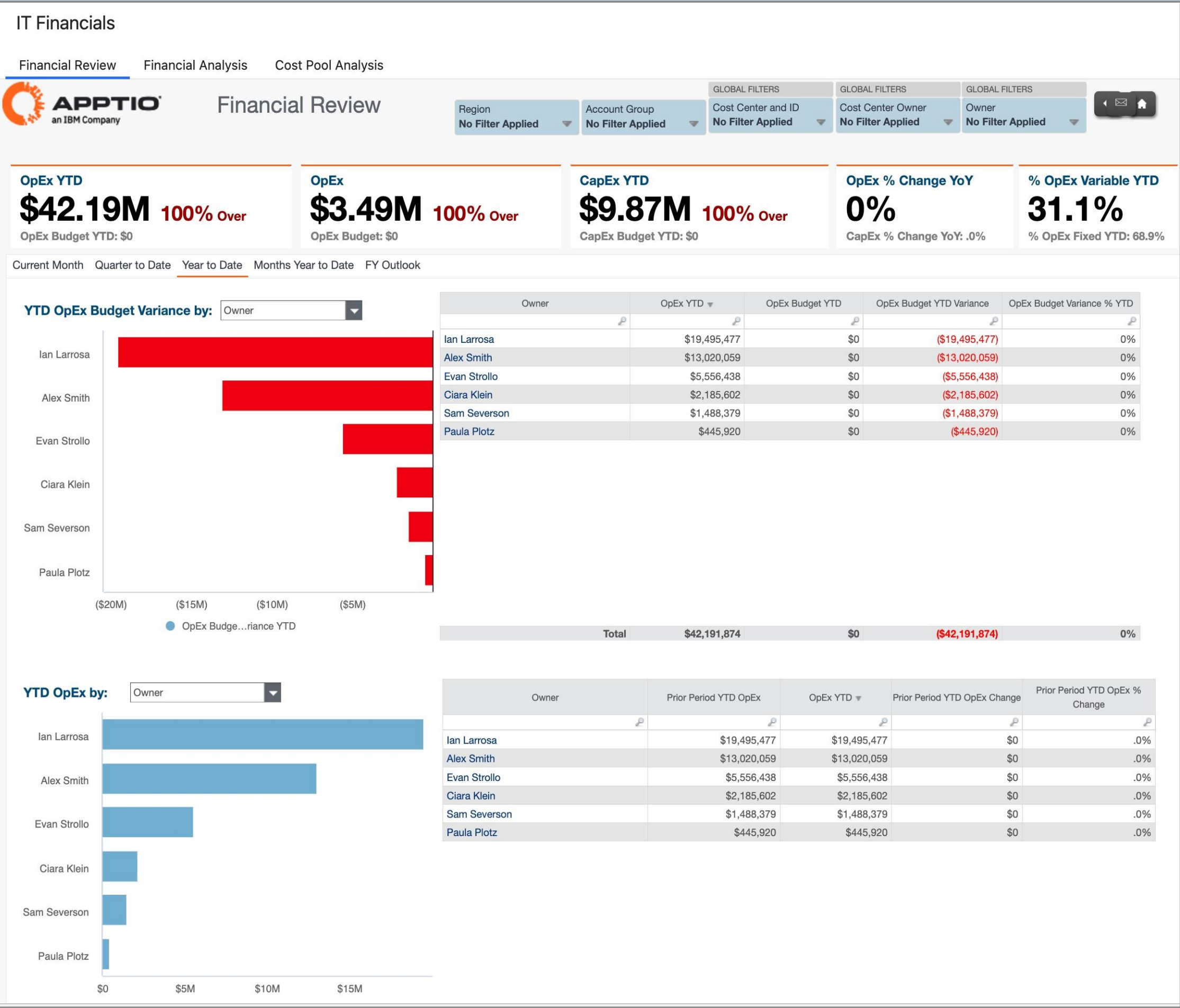


The IBM Apptio Platform

Apptio's cloud-based, highly-scalable platform translates unstructured and structured data from thousands of sources into intelligence, insights, and actions that bring cross-functional alignment and positive financial impact.

IBM Apptio

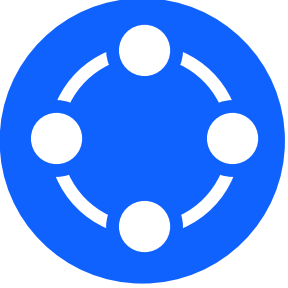
The market leading IT Financial Management solution¹



Identify areas for cost reduction & optimization



Align IT spend to business objectives and priorities



Accelerate digital transformation



Enhance accountability with stakeholders



Accelerate planning & forecasting styles

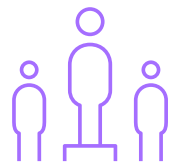
IBM Apptio portfolio

Trusted source of truth



Costing

Tech Leaders,
IT Finance



Proactively manage and understand IT spend, reduce waste, and align tech investments to strategic priorities



Billing

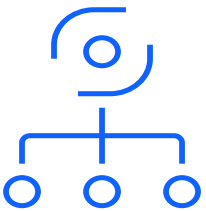
Tech Leaders, IT Finance,
IT Infra Mgr / Service Owner



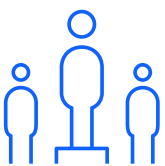
Eliminate labor-intensive manual billing and empower business leaders to reduce consumption



Planning



Tech Leaders,
IT Finance



Create a repeatable, accurate, and collaborative planning process and reduce time spent forecasting & accelerate frequency

Benchmarking



Tech Leaders,
IT Finance



Understand how you compare to peers, justify and defend costs to enable informed decision-making

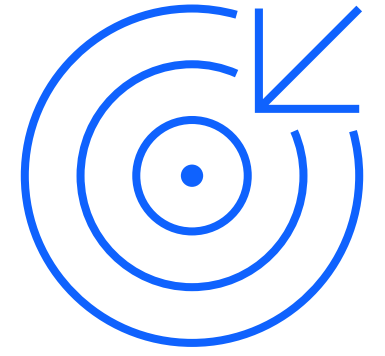
Packaging

IBM Apptio packaging details

Solution area	Product family	Solution suites	Individual solutions (components of each solution suite)
IT Financial Management (ITFM)	IBM Apptio	IBM Apptio Essentials [Suite]	IBM Apptio Costing Essentials
			IBM Apptio Planning Essentials
			IBM Apptio Billing Essentials
		IBM Apptio Standard [Suite]	IBM Apptio Costing Standard
			IBM Apptio Planning Standard
			IBM Apptio Billing Standard
			IBM Apptio Benchmarking
		N/A	IBM Apptio Costing and Planning Standard

Target market

Target market



Low maturity prospects

- Typical IT budgets range from \$25M to \$150M
- Competition: Primarily manual spreadsheets, new ITFM solution entrants
- All industries and all verticals



PORTMAN dental care



High maturity prospects

- Typical IT budgets greater than \$150M
- Competition: Serviceware, Proven Optics, Nicus, SAP, and manual spreadsheets
- All industries, all verticals and public sector
- Maturity is defined by ITFM practices, use cases, adoption and not by spend



BNY MELLON



HSBC



Messaging framework

IBM Apptio - Messaging framework

Messaging pillars	Gain a unified view of all IT investments	Communicate value	Make data-driven decisions
Business value statement	Improve decision making by bringing all your IT costs into one view – from on-premises to the cloud, from servers to containers, and across waterfall and agile software development teams. Surface your top spend drivers, identify areas of waste or ways to run more efficiently, and understand where resources are being directed.	Improve trust and collaboration across business, finance, and IT teams by creating a single source of truth about your IT spend and its business outcomes. The Apptio platform connects IT spend across different domains (for example cloud and on-prem, run versus build) and connects this to business value terms that various stakeholders can all understand.	Respond more rapidly to changing market conditions through continuous tracking of IT spend and intelligent alerts. Pivot the business quickly through continuous planning and lean budgeting practices and reallocate budget and headcount to the areas that are needed the most on a more frequent basis. Add depth to your showback and chargeback processes and make defensible business decisions based on data.
Challenges addressed	For organizations using spreadsheets and homegrown tools to manage their IT spend and business decisions: • Data is spread out across disparate systems • Process is manually intensive • Data becomes outdated quickly • Includes only a subset of information	IT leaders need to communicate the value of IT investments in the languages of IT, Finance, and Business Outcomes to align priorities and ensure that everyone understands the value of these investments. Otherwise, IT is seen as a cost center instead of a business enabler.	Many IT leaders feel confident that they know their business and can make the right decisions for their business, but it’s often difficult to back that with data. That, in turn, causes the CEO or board of directors to lack confidence in whether the right decisions are being made.

Costing - Messaging framework

Messaging pillars	Uncover data-driven insights	Optimize cost structures	Increase business value and alignment
Business value statement	Automate the ingestion and structuring of financial and operational data to gain a complete and connected view and understand key spend drivers and make effective decisions faster.	Lower and optimize overall IT spend or redirect investments by reducing waste, eliminating duplications, and aligning investments to strategic priorities.	Organizations can better understand the true value of investments through insights into consumption and unit costs and align key investments with business priorities by shifting run spend to fund growth investments.
Challenges addressed	IT Financial Management (ITFM) with spreadsheets or tools from source system vendors is not comprehensive and won't allow clients to quickly understand spend, root causes of issues, and the connection from resource to business value. Spreadsheets and homegrown tools also require significant manual effort and time and are error-prone. Manual processes do not keep up with the speed of cloud and Agile development, funding models, org structures (allocation of resources), and labor capitalization policies.	Most organizations suffer from an inability to understand the business value of specific resources and a lack of regular oversight on spend. Organizations are overwhelmed with bloated operational spend and can't adequately invest in growth opportunities. This can be a result of duplicate and underused applications that cause portfolio bloat and locking out funds from new investments and/or business units that use IT like it's free, leading to budget resource constraints.	Finance-centric reporting lacks appropriate context for IT or business units and slows joint decision-making capabilities. A shared understanding between technology leaders, finance, and the business of the fully burdened cost of IT accelerates analysis, optimization, allows leaders to take the right action. Better understand the specific cost structure of dedicated business units and show levers that they can adjust for greater tech value, and investment prioritization.

Planning - Messaging framework

Messaging pillars	Accelerate budgeting & forecasting cycles	Accurate budgets & forecasts	Automate continuous budgeting, forecasting & planning
Business value statement	Reduce the time spent forecasting, accelerate frequency, and use variance analysis to redirect resources to higher-value activities.	Enhance financial precision and confidence through increased budget and forecast accuracy compared to actuals. React promptly to potential budget changes and easily answer budget questions accurately.	Unlock operational efficiency and strategic agility with a repeatable, accurate, and collaborative planning process. The streamlined financial process enables continuous planning and forecasting cycles, reducing manual workload and expediting decision-making with real-time data insights
Challenges addressed	Budgeting and forecasting processes are tedious and time-consuming, often requiring months to gather all the right data, assess root-cause variance to prior projection, and submit/approve new projections. This leads to infrequent updates with many doing only one (or quarterly) update. This leads to a lack of agility and an inability to react to changing market and economic forces that allows leaders to redirect resources to higher value investments.	Organizations may face challenges in achieving financial precision due to inaccuracies in budgeting and forecasting. This uncertainty can hinder confidence in financial decision-making and may lead to difficulties in adapting to potential budget changes. Also, accurately answering budget-related questions becomes challenging without a solid foundation of precise financial data.	Lack of automation in budgeting and planning processes can result in inefficiencies, slower workflows, and delays in decision-making. Budgeting and planning processes can be labor-intensive leading to long processes and lead times.

Billing - Messaging framework

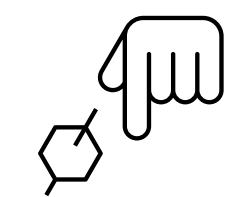
Messaging pillars	Defensible and simplified billing	Influence demand and change behavior	Increase transparency and optimize costs
Business value statement	Deliver a defensible and predictable bill to business consumers that communicates IT and tech costs in the language the business understands.	Empower business leaders to answer critical questions and improve accountability by creating shared responsibility for IT costs.	Improve understanding of IT spend and uncover overlooked inefficiencies and waste.
Challenges addressed	Homegrown billing and recovery processes are often error-prone and difficult for the business to decipher, delaying decision making and preventing frequent and defensible communication. IT and business units struggle to understand business unit consumption and IT can't partner with the business to help them make more cost-effective IT decisions.	Homegrown tools do not provide an automated or structured view and can lead to arbitrary allocation methods that create confusion. Limited cost driver and demand lever visibility prevent data-driven decision-making. Unchecked business consumption of IT resources leads to unexplained overspending and misalignment of spend to key initiatives. A proper showback and chargeback that provides the business with predictable billing and fair allocations, and allows clients to price services to influence consumption	Consumers of IT receive a confusing and unpredictable bill for the services that they use and lack a way to drill down into what is driving costs, and how they can successfully optimize in the future. Without clearly defined allocation and consumption metrics, business leaders often struggle to understand IT costs or the value they get in return, causing frustration, mistrust, and resource waste. A showback or chargeback model resolves this by linking IT spend, customer consumption, and business capabilities, fostering a more intelligent conversation about resource distribution and value.

Benchmarking - Messaging framework

Messaging pillars	Cost justification & defensibility	Gain clarity on investments	Unlock IT investment efficiency
Business value statement	Use benchmark data to communicate and defend technology spend by comparing against up-to-date and accurate data of companies of similar spend characteristics.	Gain a comprehensive understanding of how IT spend and performance compare to industry peers, enabling informed decision-making and demonstrating efficiency to stakeholders.	Organizations must have a clear understanding of how technology costs are calculated, categorized, and allocated across departments and projects. Without accurate costing models, it's difficult to assess the true financial impact of IT investments, leading to poor budgeting and missed opportunities for optimization.
Challenges addressed	With cost cutting and tight budgets, it is important for leaders to showcase the value of their investments. Benchmarking provides clarity by comparing technology spend against companies of similar characteristics. Organizations are able to defend their IT spend during budget reviews with concrete comparative data.	Organizations can lack a clear understanding of how their tech spend and performance measure up against industry peers, hindering their ability to identify strengths, weaknesses, and areas for improvement. Business leaders may struggle to make informed choices regarding tech investments without a comprehensive understanding of how their spending and performance align with industry standards.	Without benchmarking, areas of efficiency or inefficiency go undetected. Organizations may struggle to identify areas of inefficiency in their tech investments, leading to wasteful spending.

Positioning and objection handling

IBM Apptio

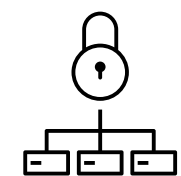


Positioning statement

For organizations with \$25M or more in IT spend struggling to gain visibility, control, and alignment across technology investments, IBM Apptio offers a leading Technology Business Management platform.

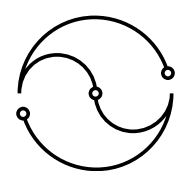
IBM Apptio unifies financial and operational data into a single source of truth, enabling cost transparency, optimized planning, and data-driven decision-making.

Unlike spreadsheets or siloed tools, IBM Apptio provides standardized taxonomy, automated allocation models, and actionable insights empowering CIOs and finance leaders to reduce waste, accelerate planning cycles, and maximize the business value of every technology dollar.



Challenges

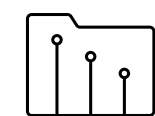
Organizations face increasing complexity in managing IT investments due to hybrid cloud adoption, decentralized provisioning, and variable spend models. Manual processes, lack of visibility, and disconnected tools hinder decision-making and strategic alignment. CIOs struggle to demonstrate IT’s value, while finance leaders lack real-time insights to optimize spend. Without integrated tools and data, businesses risk inefficiencies, missed opportunities, and misaligned investments that fail to deliver expected outcomes.



Status quo

Today, IT financial management often relies on disconnected tools and manual processes. Finance and IT teams operate in silos, leading to fragmented data, misaligned priorities, and inefficient planning.

Budgeting is static and slow to adapt, making it difficult to respond to changing business needs. This fragmented approach results in wasted spend, delayed decisions, and strained collaboration between IT, finance and business stakeholders.



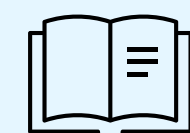
Quantified consequences

Organizations that fail to integrate ITFM face measurable setbacks, up to 15-week planning cycles (if not more), 25% cloud resource waste, and only 48% of digital initiatives meeting business goals. Disconnected systems lead to missed opportunities, underfunded high-value projects, and overinvestment in low-impact work. In contrast, integrated approaches have shown 80% faster planning, 50% improved forecast accuracy, and hundreds of millions in IT cost savings and optimization.



Discovery questions

- How is IT spend currently tracked and reported?
- What challenges exist in aligning IT budgets with business goals?
- Are cloud and hybrid costs fully visible and allocated?
- How are IT investment decisions justified to the business?
- What tools are used for forecasting and planning IT budgets?



Product description

25 word: IBM Apptio empowers organizations to succeed with IT Financial Management, providing clear solutions and insights to manage IT costs and demonstrate business value and impact, no matter their starting point.

50 word: IBM Apptio makes IT Financial Management accessible and effective, no matter where you are in your journey. With a modern, streamlined approach, it equips IT and Finance leaders to understand IT costs, optimize budgets, and clearly communicate IT’s value to the business. Gain confidence and control over IT spend today.

IBM Apptio

Indicators for product fit

- Lacks an optimized budget or variance management process
- Receives frequent questions from multiple stakeholders about IT costs
- Not able to understand IT costs and is unable to assign value
- Not able to articulate IT costs across core areas such as projects, assets, apps, and services
- Not able to track spending and trends of top applications that are broken down by run and development costs
- Not able to clearly articulate the IT cost structure of each business unit and how tightly these investments align to strategic priorities
- IT is viewed as a cost center versus strategic partner for organizations and business units

Primary competitors

- DIY solutions
- ServiceWare
- Yarken
- MagicOrange
- Proven Optics
- Nicus

Common objections					
Objections	Data is not ready/not easily accessible	Apptio is too complex to implement and use	No budget, no resources to support	Our people are processes are set in their ways - they will resist change	Apptio is expensive, old and outdated
Response questions ?	• What level of effort is required today to prepare monthly or quarterly IT financial reports? • How is your data currently being used to support budgeting or planning decisions? • Would it be helpful to start with the data you already have and improve it over time?	• What internal resources are currently available to support IT financial management or reporting? • What tools or processes are you using today to manage IT budgets and allocations? • How long does it typically take your team to prepare and validate IT financial reports today?	• How much time and effort does your team spend preparing budgets, forecasts, or variance reports? • What would it mean for your team to have better visibility and control over IT spend before the next planning cycle? • What initiatives are currently top-of-mind for your leadership - like cloud migration or cost optimization?	• How are IT financial processes currently managed across teams? • Who are the key stakeholders involved in budgeting, forecasting, and reporting? • How open is your organization to tools that reduce manual effort and improve collaboration?	• How often do you revisit your IT budgeting and forecasting to ensure alignment with business goals? • What would it mean for your organization to gain real-time visibility into vendor, labor, and cloud costs? • What would it mean for your organization to gain real-time visibility into vendor, labor, and cloud costs?
Our responses 	• By design, Apptio aggregates data from multiple sources into a unified model, even if that data isn't perfect or fully centralized. It applies a consistent taxonomy and proven allocation rules to fix inconsistencies and make the data usable. • Apptio doesn't replace your systems of record, it enhances them. It's a system of insight and intelligence, not a system of record. That means it uses the data you already have, wherever it lives, and transforms it into actionable insights. • IBM Apptio enables organizations to take a 'good', 'better', 'best' approach with their data. It's better to get started sooner rather than wait for perfect data. Tools like Apptio Data Advisor and Value Explorer help prioritize the data that matters most to business outcomes and identify where refinement is needed over time.	• IBM Apptio Essentials is designed to be prescriptive and streamlined—so clients can get up and running quickly and see value faster. You don't need to build or support a dedicated TBM or ITFM office to get started. • We've also made significant improvements to the user experience based on direct customer feedback. From simplified report design to intuitive dashboards, Apptio is easier to use than ever and we're continuing to invest in making it even better. • Most importantly, Apptio meets you where you are. You can start with a focused use case and scale over time. Our approach is designed to reduce complexity, not add to it.	• We understand that budget and resource constraints are real and that's exactly why now is the right time to lay the groundwork. IBM Apptio isn't just another project; it's a foundation that supports your existing priorities, whether that's cloud migration, cost optimization, or digital transformation. • ITFM helps you plan smarter, forecast more accurately, and make better use of the resources you already have. And with IBM Apptio Essentials, you can start small with a prescriptive, streamlined solution that delivers value quickly—without needing to build a dedicated team or wait for the next fiscal year.	• Change can be challenging but it's also an opportunity to make work easier and more impactful for your teams. IBM Apptio is designed to eliminate the manual, time-consuming tasks that many IT analysts and finance teams deal with, like consolidating dozens of spreadsheets every month. • Instead of pushing change onto teams, we guide organizations through a collaborative approach. We recommend involving key stakeholders early through steering committees or working groups so they feel ownership and see the value firsthand. • Apptio helps teams shift from reactive reporting to proactive insights. It's not about replacing people or processes; it's about empowering them to focus on what matters most: delivering strategic value	• We hear that concern from time to time, and it's often based on outdated perceptions. IBM Apptio has evolved significantly—both in terms of user experience and strategic value. It's not just a reporting tool; it's a platform for continuous cost optimization and business alignment. • Apptio helps organizations identify immediate cost savings especially in high-impact areas like vendor and labor spend—so it often funds itself. And it doesn't stop there. It enables ongoing ROI through better forecasting, variance analysis, and strategic decision-making. • We've also made major investments in modernizing the platform. With a redesigned UI/UX, prescriptive datasets, and a streamlined onboarding experience, Apptio is faster, easier, and more intuitive than ever. It's a future-ready solution that grows with your organization.

Competitor analysis

Competitors

DIY solutions



Products: Microsoft Excel, spreadsheets

Overview: Commonly used, familiar tools for financial tracking and reporting.

Weakness:

- High manual effort
- Prone to errors
- Lack of automation and version control

How IBM Apptio Wins:

- Purpose-built for IT and technology finance
- Automated data connections and allocation models
- Reduces manual errors and improves accuracy
- Provides defensibility and visibility into addressable spend

Emerging entrants



Products: ServiceWare, MagicOrange, Proven Optics, Nicus

Overview: Smaller players with low market share; often mimic Apptio’s approach.

Weakness:

- Limited market presence
- Less mature product offerings

How IBM Apptio Wins:

- 17+ years of market leadership
- 1,800+ successful TBM deployments
- Scalable engineering, delivery, and customer support teams
- Robust product roadmap

New entrants



Products: Yarken, Valoptia

Overview: Newer, regionally focused vendors entering the ITFM space.

Weakness:

- Low brand recognition
- Limited scalability and experience

How IBM Apptio Wins:

- Strong market awareness and leadership
- Proven scalability and solution maturity
- Trusted by global enterprises

Encroaching adjacencies



Products: SAP, Oracle

Overview: Large enterprise platforms offering adjacent capabilities, often through custom services.

Weakness:

- Complex and costly implementations
- Not purpose-built for IT financial management

How IBM Apptio Wins:

- Tailored for IT and technology finance
- Automated data integration and allocation
- Complete portfolio including planning, billing, and optimization

IBM Targetprocess

Strategic Portfolio Management

Agenda

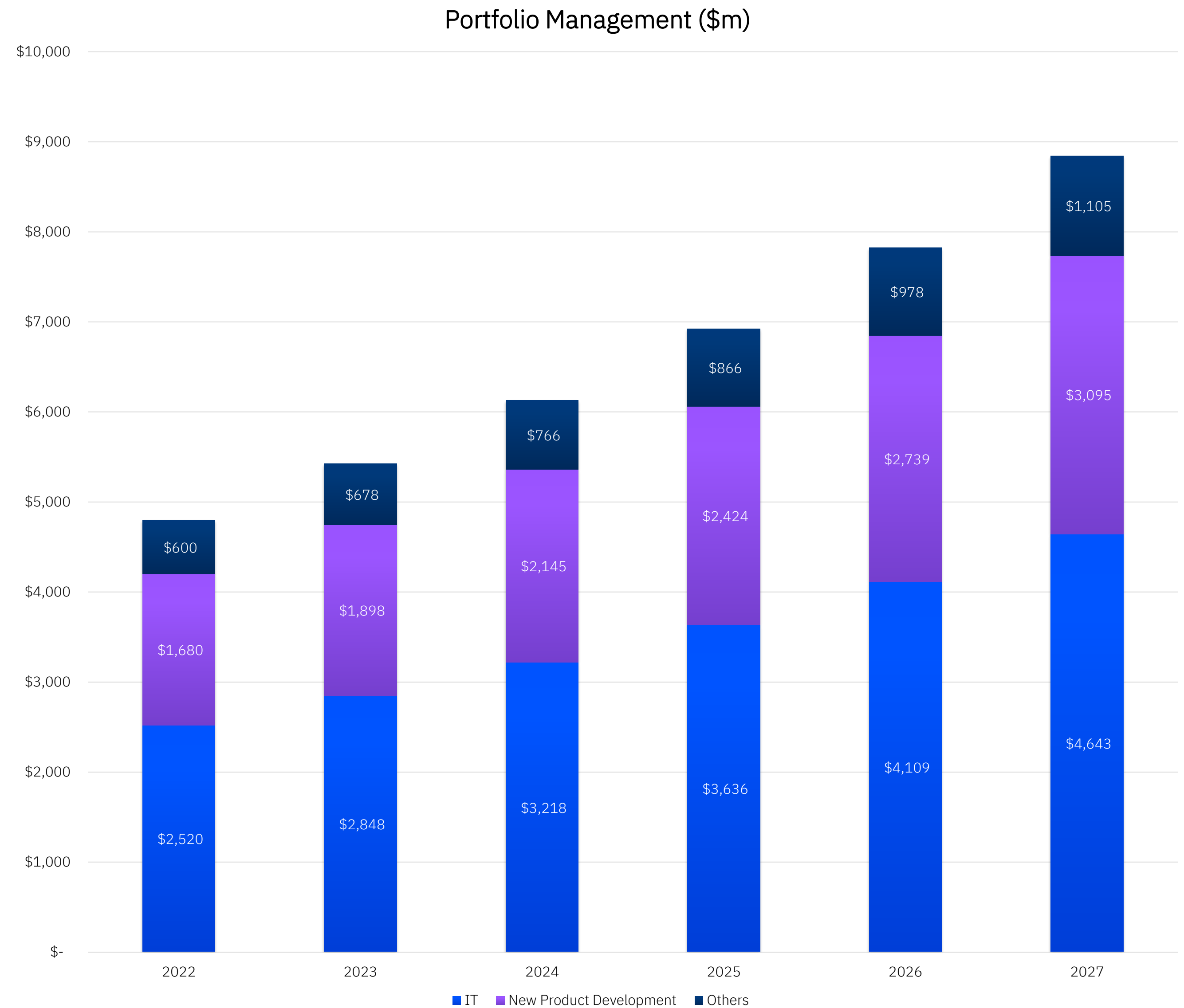
- Market opportunity
- Pain points & gaps
- Solution overview
- Target persona
- Messaging framework
- Positioning and objection handling
- Competitor analysis
- Pricing

Market opportunity

70% of digital transformations fail to achieve their objectives¹

Only 35% of organizations say they can effectively translate strategy into execution²

Market for
Strategic
Portfolio
Management
is massive!¹



Pain points and gaps

Challenges executing on strategy today result in...

Disconnected strategy and execution



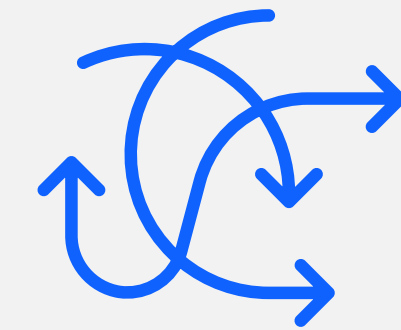
- No unified way to connect strategic goals with project execution across teams
- Misaligned priorities lead to conflicting efforts and wasted resources
- No clear connection between execution and measurable business outcomes

Limited visibility across portfolios



- Siloed portfolio and resource data creates fragmented insights
- Incomplete views delay decision-making and hinder prioritization
- Leaders struggle to assess portfolio performance and reallocate resources effectively

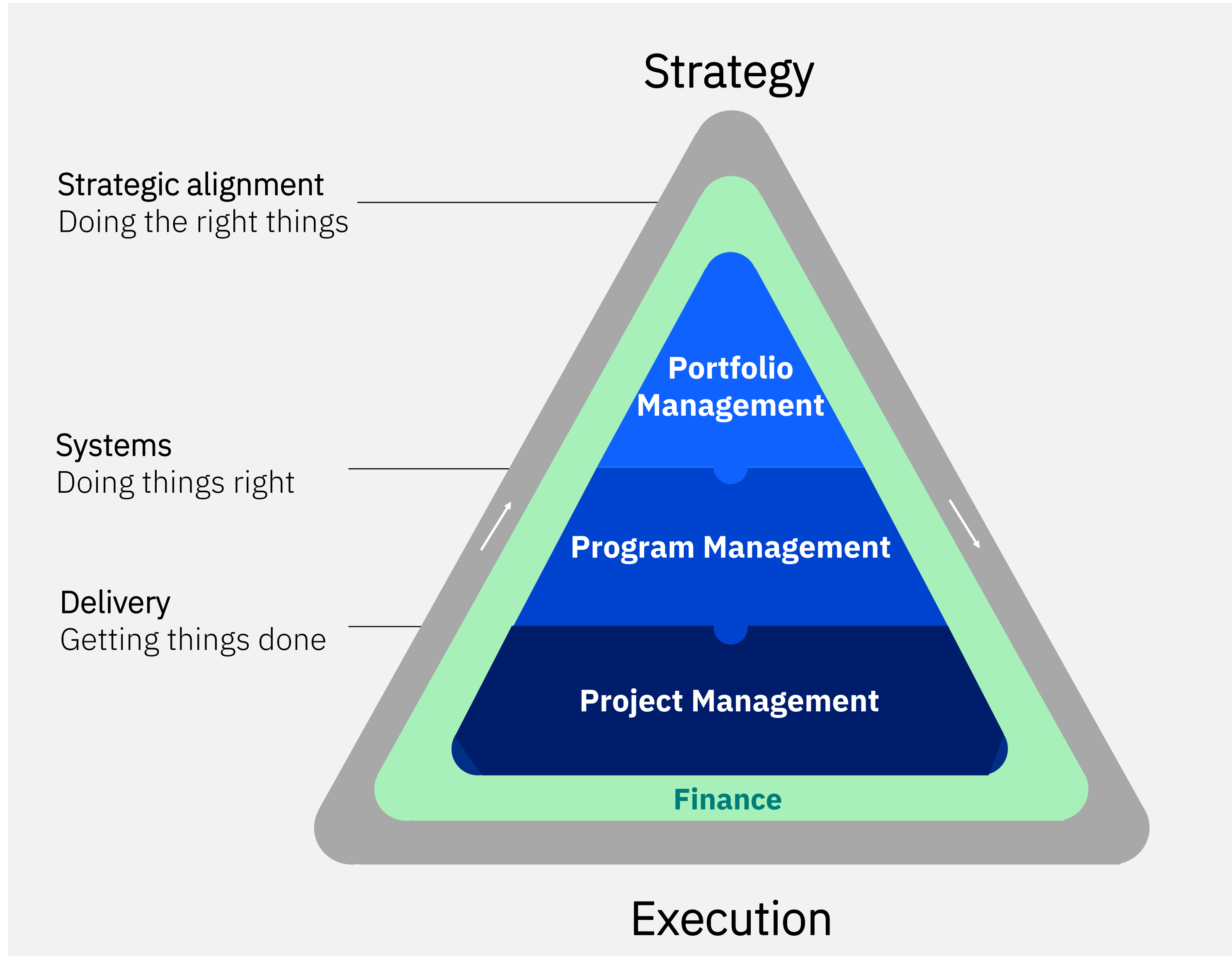
Lack of flexibility to adapt



- Rigid systems make it difficult to adjust plans as priorities shift
- Teams cannot efficiently coordinate across traditional, agile, and hybrid methodologies
- Manual processes for resource and funding adjustments slow responsiveness to change

Solution overview

What is Strategic Portfolio Management?



Strategic Portfolio Management connects **strategy to execution** by ensuring resources, investments, and initiatives are aligned with business goals to deliver measurable outcomes.

Key components:

Portfolio visibility

Holistic view of all investments, projects and initiatives across the organization

Alignment to strategy

Prioritize work with business goals and KPI

Capacity planning

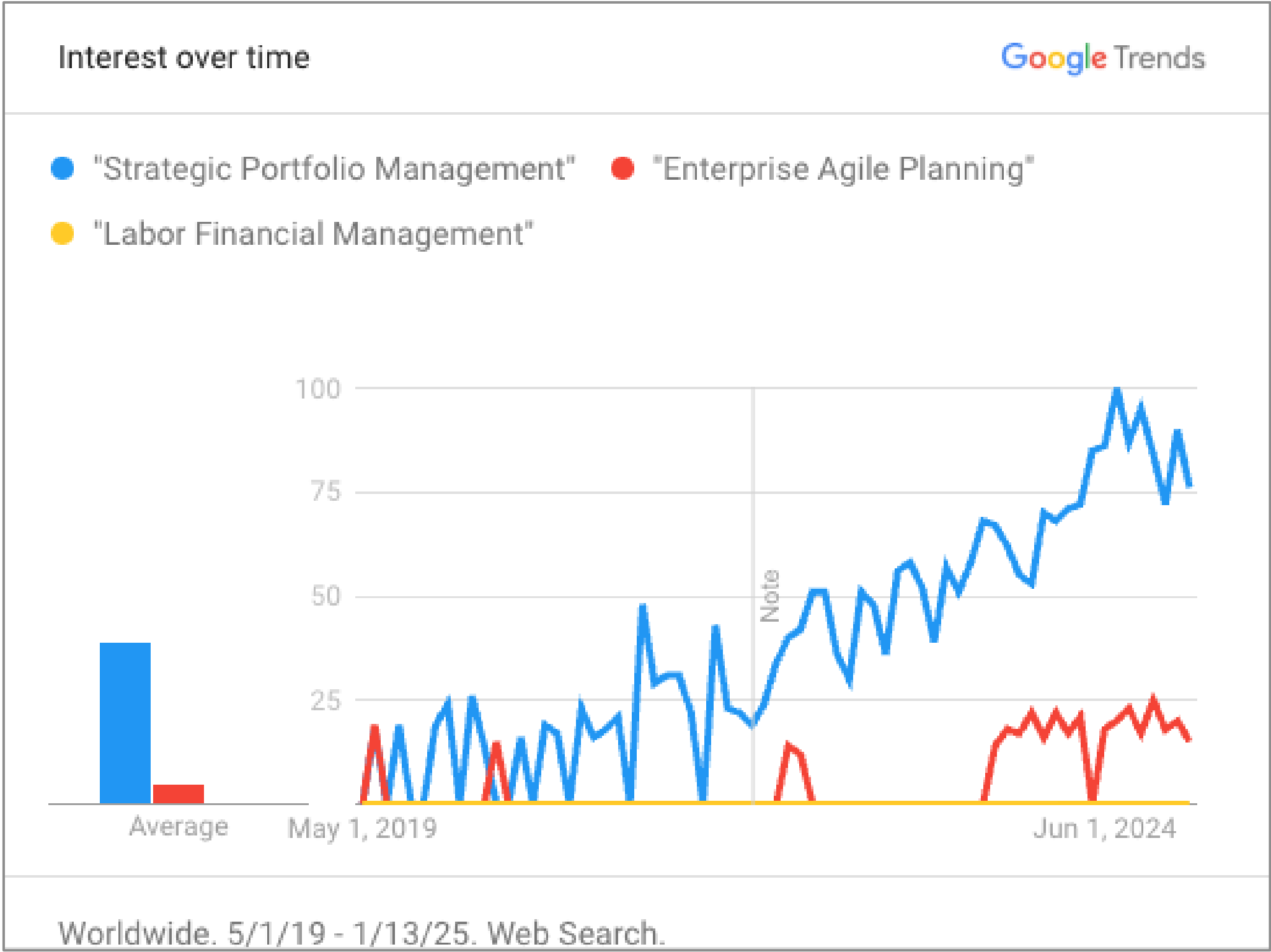
Allocate funding, talent, and assets to the most impactful initiatives

Agile execution/scaling

Bridge strategy and delivery by connecting portfolios to scale/execute frameworks like SAFe

“Strategic Portfolio Management”, an industry recognized term!

SPM is more popular than EAP and LFM, combined!



Forrester Wave Report - 2022¹

WAVE REPORT

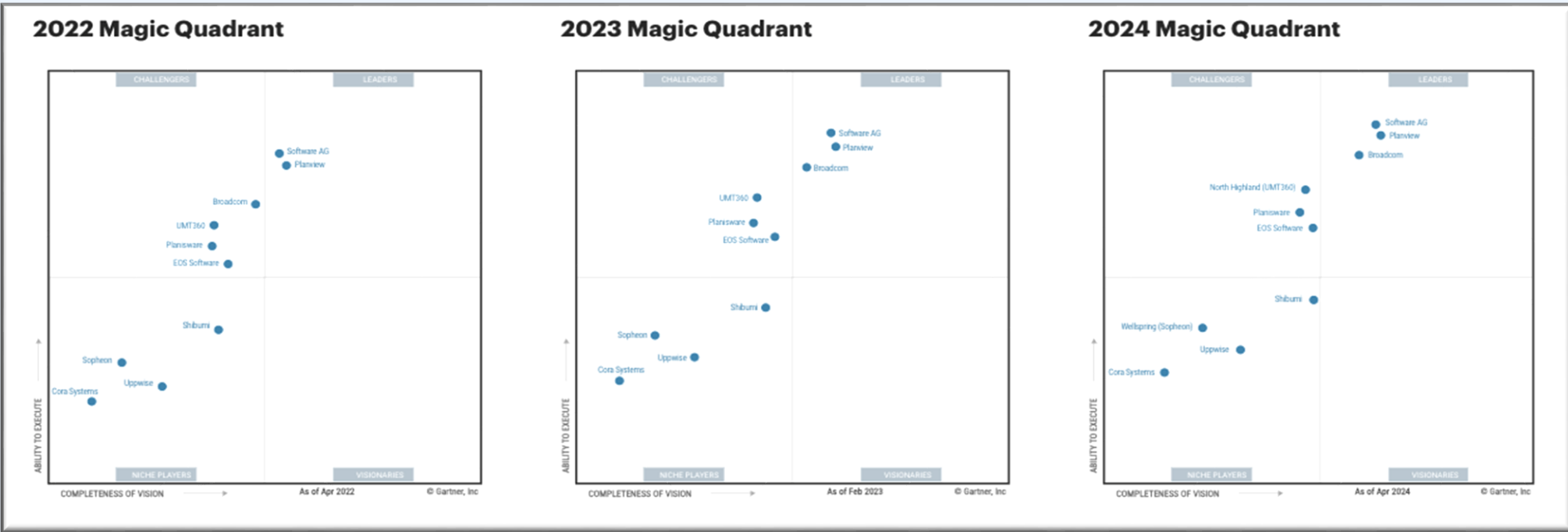
The Forrester Wave™: Strategic Portfolio Management Tools, Q1 2022

February 14th, 2022 • 15 min read

forecasts total cost and benefits over the lifecycle of the investment. Evaluation Summary The Forrester Wave™ evaluation highlights Leaders, Strong Performers, Contenders, and Challengers. It's an assessment of the top vendors in the market and does not represent the entire vendor landscape. You'll find more information about this market in our reports on...

Margo Visitation

Gartner Magic Quadrant - 2022²



IDC MarketScape- 2023³

IDC MarketScape: Worldwide Strategic Portfolio Management and IT Project and Portfolio Management 2023–2024 Vendor Assessment — Driving Adaptive Business Optimization with AI and Connected Data

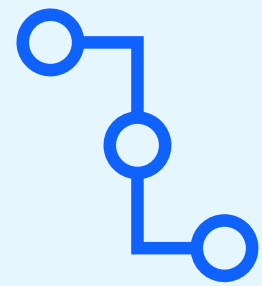
[Melinda-Carol Ballou](#)

This IDC study uses the IDC MarketScape vendor assessment model to evaluate the **strategic portfolio management** (SPM) market, in conjunction with the IT project and portfolio management (IT PPM) market. This research enables analysis of quantitative and qualitative characteristics to provide metrics and context for users evaluating solutions in this area and also to help ...

Dec 14, 2023 | IDC MarketScape

Strategic Portfolio Management as the key to connecting strategy to execution

Alignment



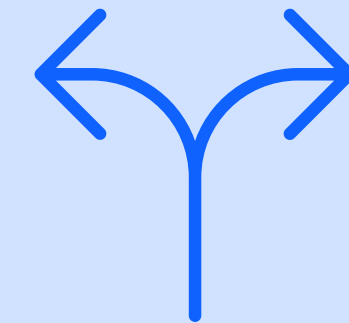
- Bridge the gap between strategic goals and execution, ensuring clear priorities
- Link investments, resources, and activities to measurable outcomes
- Gain visibility into progress and ensures alignment at all levels

Transparency



- Combine portfolio, resource, and financial data into a single source of truth
- Make proactive decisions with clear, real-time insights
- Identify risks and underperforming investments to act quicker

Agility

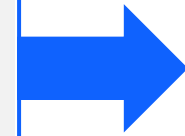


- Facilitate seamless coordination across traditional, agile, and hybrid methodologies
- Streamline resource allocation and funding adjustments to quickly pivot
- Supports scenario planning to adapt plans to changing business needs

From fragmentation to impact driving business outcomes

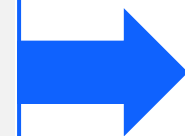
OLD

Decisions made in silos, causing delays and misalignment



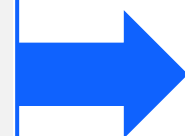
Faster execution on strategic priorities from reduced delays, improved alignment, and real-time visibility

Leaders struggle to assess portfolio performance and funding gaps



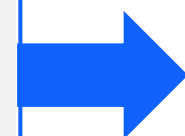
Higher-value investments prioritized by continuously optimizing funding and reallocating resources based on business impact

Annual planning cycles disabling pivoting when priorities change



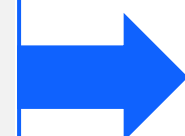
Greater agility from adjusting resources proactively, preventing wasted spend, and keeping priorities aligned with changing needs

Projects continued without clear ROI tracking



Smarter budgeting and cost control driven by tracking every investment against measurable outcomes with financial accountability

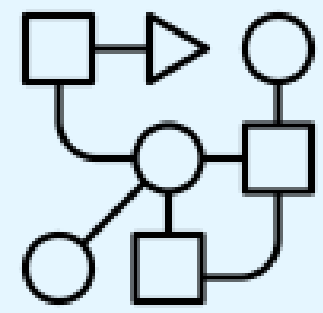
Teams worked in disconnected systems, creating inefficiencies



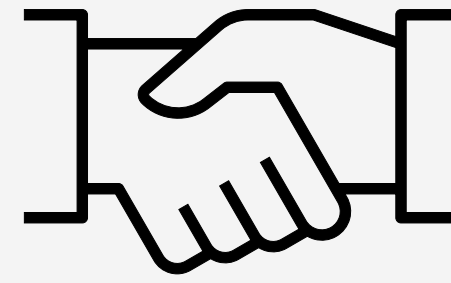
Stronger cross-functional collaboration accelerates time-to-value as IT, finance, and business teams work efficiently

NEW

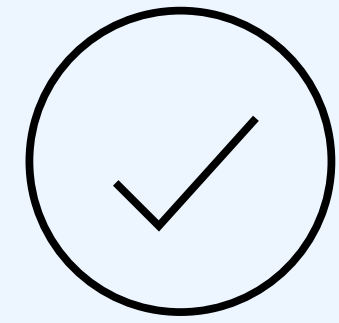
Benefits of Strategic Portfolio Management



Liberates organization
from informational siloes



Embraces both traditional
and agile methodologies



Optimizes existing
strategy and operations

Key considerations for Strategic Portfolio Management



Are our strategic goals clearly connected to our investments and work, or are decisions being made in silos?



Do we have visibility into whether our portfolios are aligned with business priorities, or are we just allocating resources without a measurable impact?



Are we able to adjust investments and resources quickly when market conditions or business priorities change?



Can we quickly and objectively assess trade-offs between competing investments to ensure resources are allocated to the highest-value initiatives?



Can we confidently measure the financial impact of our initiatives and track if they're delivering expected value?

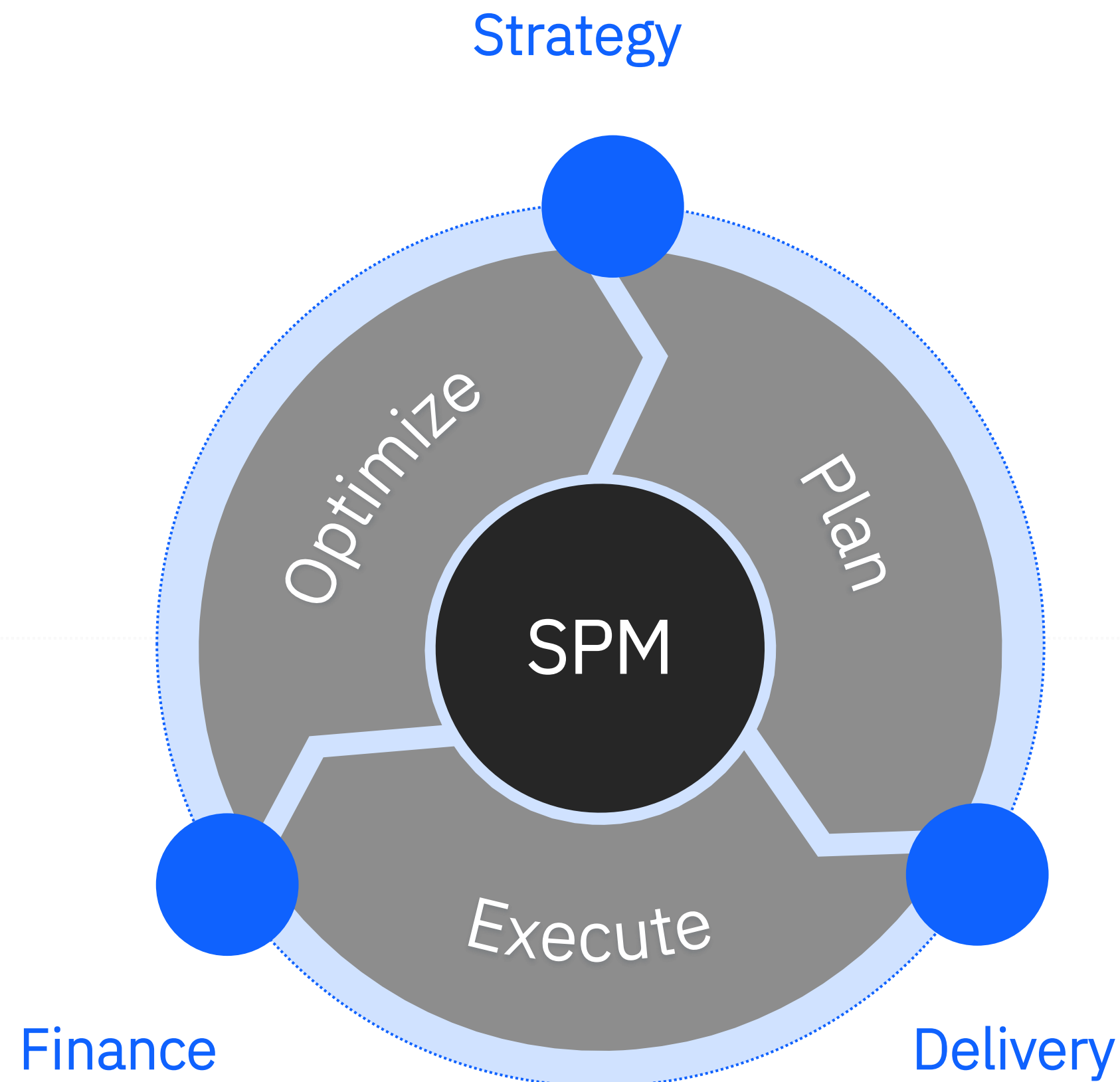


Do teams across IT, finance, and business units collaborate effectively, or is there friction and misalignment?

Strategic Portfolio Management is about continuous optimization

Financial management

Planning and cost transparency dashboard to provide Financial governance and oversight

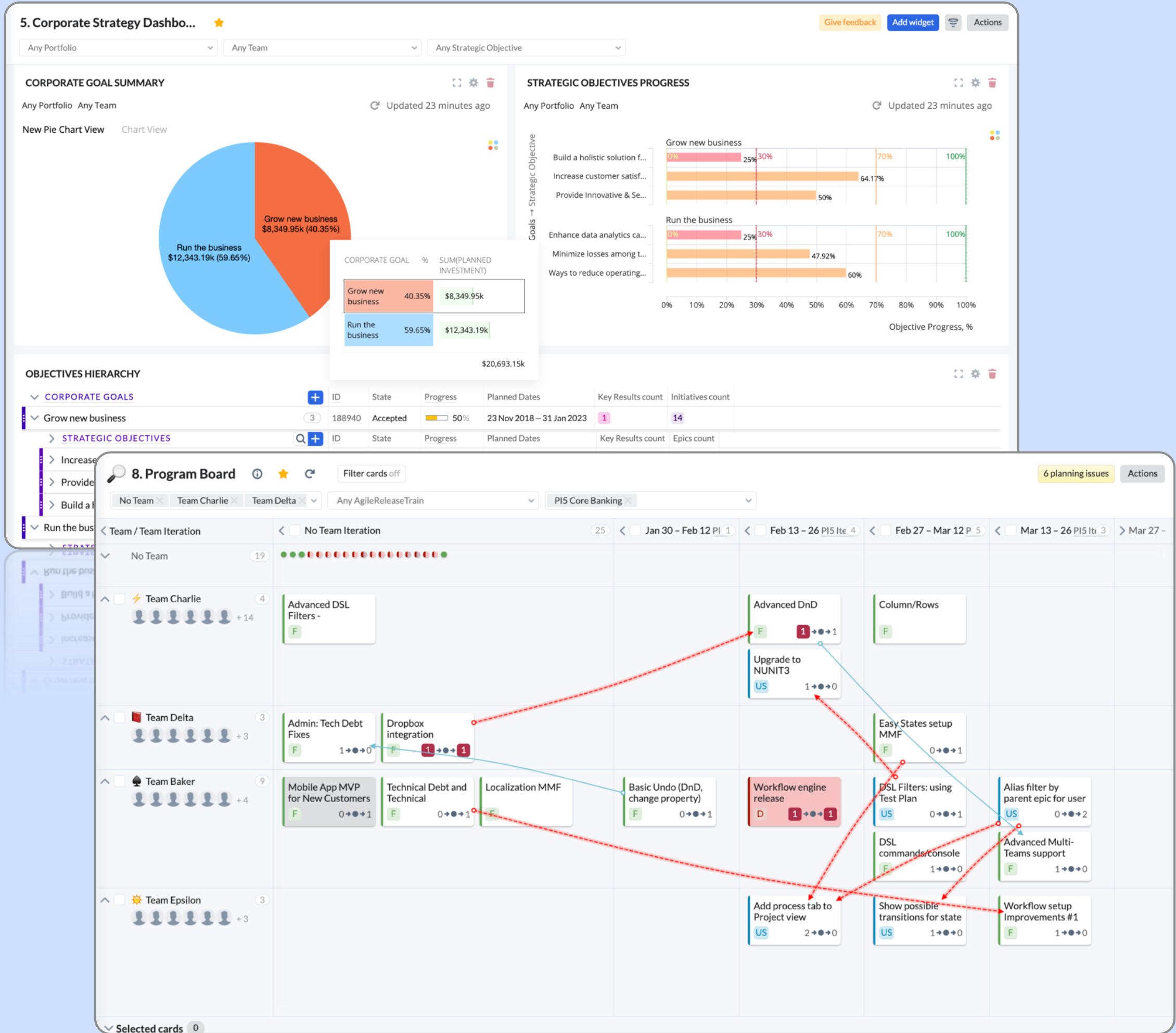


Work management

Portfolio and labor alignment to create efficient resource management

IBM Targetprocess

Connect strategy and execution for enterprise alignment



Align strategy & portfolio



Optimize investments & resources at scale

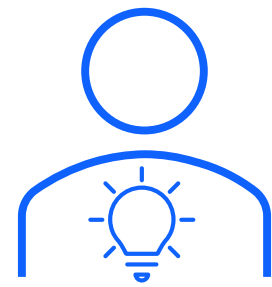


Deliver outcomes with agility

Target personas

Persona benefits

CIO



Challenges

- Struggles to see how IT investments impact business strategy
- IT, finance, and business teams on different page
- Planning is slow, making it tough to adjust when priorities shift

• Values

- Connect IT investments to business goals to justify spending
- Break down silos and get everyone working with the same set of data
- Adjust plans quickly with real-time insights and scenario planning

IT Finance Leaders



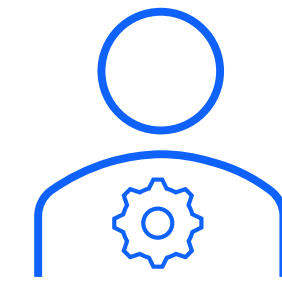
Challenges

- No clear picture of IT spend, making budgeting a guessing game
- Hard to prove if technology investments are paying off
- Disconnected spreadsheets and manual processes

• Values

- Gain complete view of IT financials and track where the money is spent
- Link investments to true business value, not just costs
- Adjust budgets in real-time based on actual performance

EPMO



Challenges

- No consistent way to prioritize portfolios—decisions feel scattered
- Delays in adjusting plans when priorities change
- Strategy and execution not consistently in sync

• Values

- Set clear priorities based on business impact, not just gut feeling
- Make it easier to shift resources when priorities change
- Keep strategy and execution aligned so work delivers measurable results

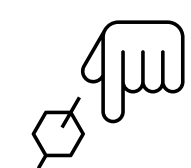
Messaging framework

IBM Targetprocess – Messaging framework

Messaging pillars	Align strategy and portfolio	Maximize investments and resources at scale	Deliver outcomes with agility
Business value statement	Continuously align work, products, and portfolios to the business strategy with consolidated views of financials. Provide decision makers across all levels of the organization visibility, adaptability, and measurable impact.	Maximize investments and resources by bringing together visibility into multiple portfolios and teams within a larger organization into one view to quickly identify resourcing needs, schedule work, manage dependencies and reallocate resources or funds at scale to receive the most value.	Achieve faster time-to-value by scaling Agile practices and supporting waterfall and hybrid methodologies across portfolios. Rapidly deploy pre-built templates for planning, analysis, and execution, ensuring organizational agility and alignment while delivering measurable outcomes across value streams.
Challenges addressed	Disconnected systems and siloed tools prevent leaders from seeing how individual initiatives align with overarching business goals. This lack of visibility and ability to create scenarios makes it difficult to adapt strategies dynamically in response to shifting priorities or market changes. Strategic alignment requires not only a consolidated view of portfolios and workstreams but also the ability to connect financial and execution data in real time, ensuring that resources are consistently driving measurable business impact.	Managing investments and resources across large organizations is complex, especially when teams work in isolation or lack transparency into overall capacity and priorities. Traditional funding models and static budgets often lock organizations into inefficient resource allocations, making it hard to reallocate funds or labor dynamically to high-impact initiatives. Scalable resource management requires integrated financial insights and a real-time understanding of resource utilization to maximize outcomes while remaining agile to changing demands.	Large-scale programs often run over budget and timeline due to fragmented processes and selecting EAP tools that mostly support rigid frameworks that fail to support diverse methodologies like Agile, Waterfall, or hybrid approaches. Without a flexible tool to adapt processes to their unique needs, organizations struggle to track dependencies, manage cross-team collaboration, and deliver value quickly. To achieve speed and agility, organizations need tools that align execution with priorities while enabling seamless adjustments to resources, timelines, and outcomes.

Positioning and objection handling

IBM Targetprocess

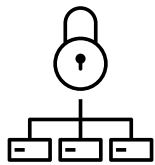


Positioning statement

CIOs, IT leaders, and EPMOs are under growing pressure to align strategy with execution, deliver measurable outcomes, and optimize resources. They must prioritize initiatives, manage resources effectively, and maintain financial oversight to drive business value. Meanwhile, leadership expects real-time insights, scenario planning, and agility to respond to changing priorities.

However, disconnected tools and siloed processes hinder collaboration and decision-making. To overcome this, leaders need integrated solutions that connect strategy, execution, and financials.

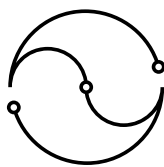
IBM Targetprocess, a Strategic Portfolio Management (SPM) SaaS tool, bridges this gap. Built on an Enterprise Agile Planning (EAP) foundation with integrated Labor Financial Management (LFM), it enables dynamic resource allocation, real-time insights, and alignment of portfolios with enterprise goals. By providing a single source of truth, Targetprocess empowers data-driven decisions, enhances agility, and maximizes business value.



Challenges

Organizations aiming to manage portfolios strategically and efficiently face recurring challenges that limit their ability to achieve measurable outcomes. These obstacles are driven by fragmented processes, disconnected tools, and misaligned priorities.

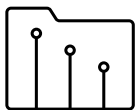
- **Misaligned goals:** portfolios, programs, and projects often fail to directly support organizational objectives, leading to wasted resources
- **Resource bottlenecks:** inconsistent resource allocation creates inefficiencies, with overburdened teams or underutilized capacity
- **Financial inefficiencies:** poor cost tracking and siloed budgeting processes result in overspending and difficulty measuring ROI
- **Slow decision-making:** without integrated scenario planning, organizations struggle to pivot quickly or reprioritize investments
- **Lack of visibility:** siloed tools and fragmented data limit leadership’s ability to make informed decisions about portfolio performance



Status quo

Many organizations still rely on outdated tools and disconnected processes to manage their portfolios, resulting in inefficiencies and missed opportunities. Tools like spreadsheets and isolated project management software fail to provide the real-time data and strategic insights leaders need to stay competitive.

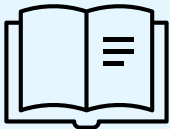
- **Fragmented systems:** Teams work in silos, making collaboration and data sharing across portfolios difficult
- **Manual workflows:** Significant time is wasted on manual reporting and data consolidation
- **Reactive planning:** Portfolio adjustments are often made reactively, without the support of predictive or proactive tools
- **Disconnected insights:** Financial data, resource planning, and execution metrics are rarely integrated, leading to a lack of alignment across the organization



Quantified consequences

Failing to implement an SPM solution can result in:

- Increased costs from inefficient resource and budget allocation
- Delayed time to market for critical initiatives
- Misalignment between strategic goals and execution
- Missed opportunities of innovation due to lack of agility in decision-making



Product description

25 word: IBM Targetprocess bridges strategy and execution by aligning portfolios, maximize investments, and empowering organizations to deliver measurable business outcomes with adaptability and efficiency.

50 word: IBM Targetprocess, a Strategic Portfolio Management (SPM) SaaS tool, bridges strategy and execution enabling organizations to maximize investments, allocate resources dynamically, and align portfolios with enterprise goals. Built on Agile planning and portfolio financial management capabilities, Targetprocess delivers real-time insights to optimize outcomes and maximize value.

IBM Targetprocess

Indicators for product fit

- Lacks an optimized budget or variance management process
- Receives frequent questions from multiple stakeholders about IT costs
- Not able to understand IT costs and is unable to assign value
- Not able to articulate IT costs across core areas such as projects, assets, apps, and services
- Not able to track spending and trends of top applications that are broken down by run and development costs
- Not able to clearly articulate the IT cost structure of each business unit and how tightly these investments align to strategic priorities
- IT is viewed as a cost center versus strategic partner for organizations and business units

Primary competitors

- DIY solutions
- ServiceWare
- Yarken
- SAP
- Oracle

Common objections			
Objections	We already use EAP for portfolio strategy and execution	SPM is unnecessary because we’re not ready for enterprise-wide transformation	We already have a PPM tool for managing portfolios
Response questions 	• How does EAP help leadership evaluate trade-offs or prioritize initiatives across multiple portfolios? • Are you able to align financial planning and enterprise strategy using EAP? • What tools do you use to model scenarios for shifting priorities or resources?	• How do you currently adapt to changes in priorities or resources across portfolios? • What challenges do you face in balancing portfolio-level decisions with the demands of agile execution? • How do you envision your organization scaling its portfolio management capabilities as your business grows?	• Does your PPM tool provide real-time insights into how your portfolios align with strategic goals? • Are you able to integrate financial data and resource planning into your portfolio decisions? • How do you adapt portfolios dynamically when priorities or resources shift?
Our responses 	EAP is a key capability within the SPM framework, focusing on agile and hybrid execution. SPM builds on EAP by adding enterprise-wide prioritization, financial integration, and resource optimization, enabling leadership to make informed decisions across all portfolios.	SPM doesn’t require a full enterprise-wide transformation to deliver value. It works incrementally, allowing organizations to start with specific capabilities, like portfolio prioritization or scenario planning, and expand over time. By building on existing tools like EAP, SPM enables organizations to scale their strategic portfolio management efforts at their own pace.	While PPM tools track portfolio status, SPM offers a comprehensive solution that integrates agile execution (EAP), financial management (LFM), and enterprise-wide strategic alignment. This ensures all portfolios are optimized for business impact.

Competitor analysis

Competitors

ServiceNow



Products

SPM

Overview

Built for structured, top-down planning and demand intake, more for IT-centric organizations. Lacks Agile/hybrid delivery, and financial management, making it harder to scale across diverse business needs.

Weakness:

- Weak agile/hybrid support, built for PPM
- Limited features for basic package
- Inflexible, long implementation times
- Weak reporting capabilities

How Targetprocess wins

- Flexible and tool-agnostic
- Better at connecting strategy, funding, and execution
- Easier to adopt across different teams

Planview



Products

Planview Portfolios, Planview AgilePlace

Overview

Strong portfolio planning and work management, but complex and fragmented. Slow to implement/adopt

Weakness:

- Fragmented architecture with complex, multi-tool experience
- Limited financials and flexibility
- Long, phased implementations with steep learning curve
- High overhead and cost not suited for smaller orgs

How Targetprocess wins:

Unified platform
Faster implementation/easier adoption
Stronger financial management

Broadcom



Products

ValueOps (Clarity/Rally)

Overview

Strong financial planning, roadmapping, but dated UI, rigid architecture for modern portfolio needs. Long recognized as strong PPM, not SPM.

Weakness:

- Rigid architecture with outdated UI
- Not built for hybrid delivery models
- Costly integrations and highly technical customization
- Lacks financial management and flexibility
- Bundled pricing only, can create tool overlap

How Targetprocess wins:

- Purpose-built for SPM and hybrid delivery
- Modern, intuitive UI
- Integrates easily with existing tools

Pricing

Pricing

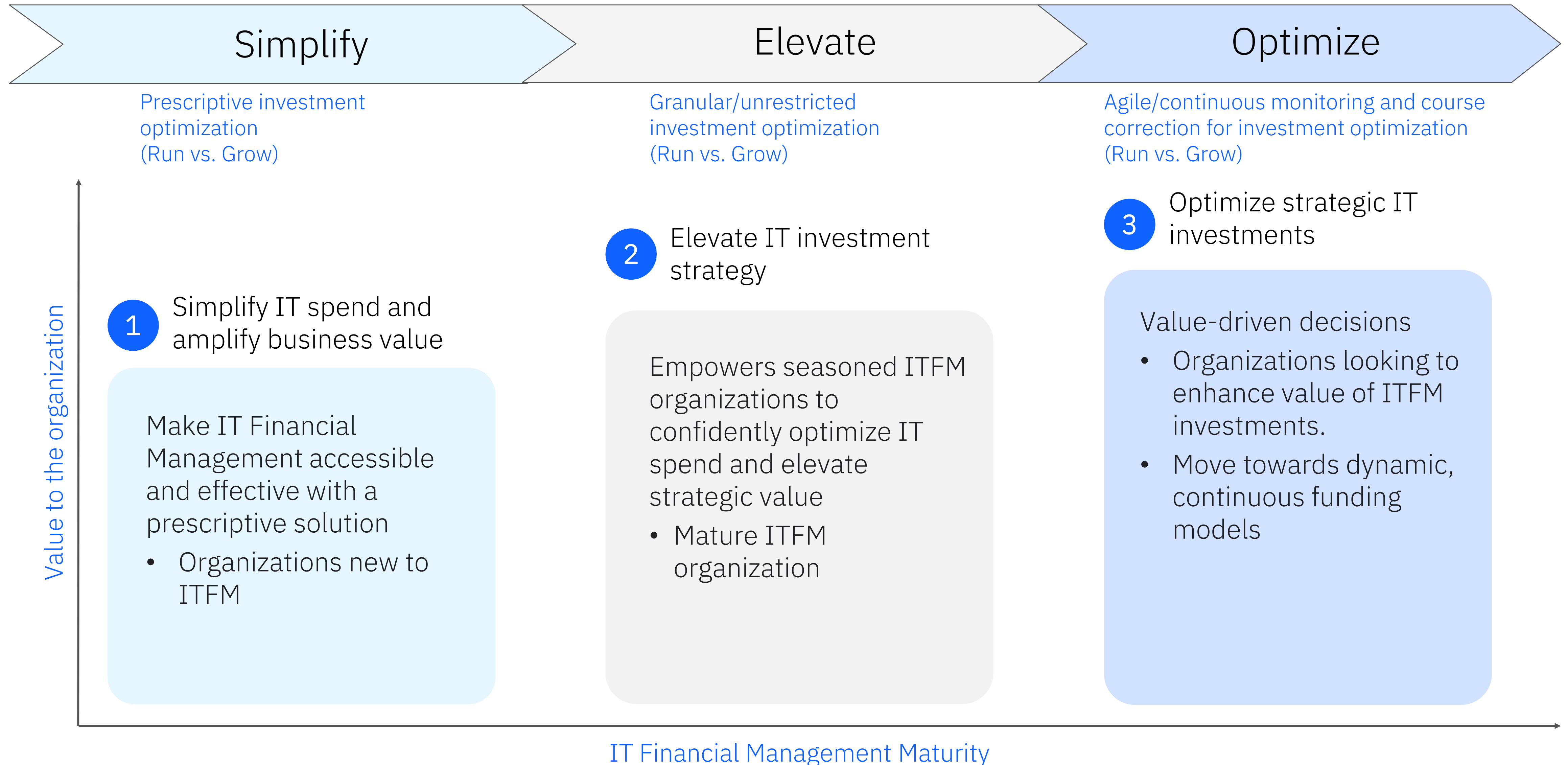
SKU	Metric in	Pricing (USD)
Targetprocess user	Number of users	Starts at \$78.00/user/month
Connected user	Number of users	Starts at \$19.50/user/month
Limited user	PI planning event	Starts at \$7.00/user/month
Private cloud	Private cloud	Starts at \$10,000/month
Additional instance (sandbox)	Instance	\$7,120/month

ITFM and SPM
better together

Agenda

- ITFM and SPM value-based foundation
- Pain points
- Benefits
- Seller resources and contacts

ITFM and SPM value- based foundation



Bridging the gap between IT spend and strategy

Siloed data & visibility gaps

Misaligned priorities

Inefficient planning

Missed opportunities & wasted spend

Strained business relationships

Bringing together ITFM & SPM

Siloed data & visibility gaps

Single source of truth & visibility

Misaligned priorities

Aligned strategy & spending

Inefficient planning

Improved forecasting & financial agility

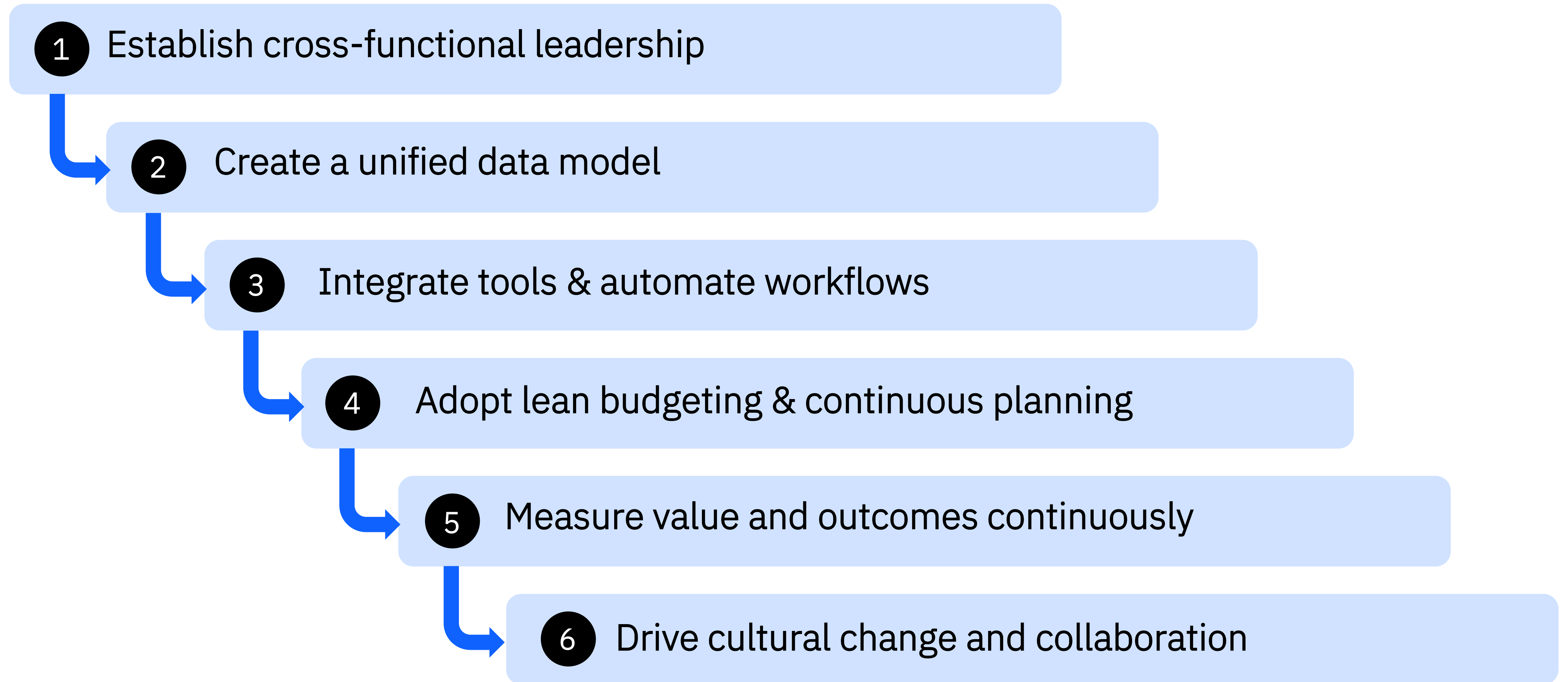
Missed opportunities & wasted spend

Optimized resource utilization

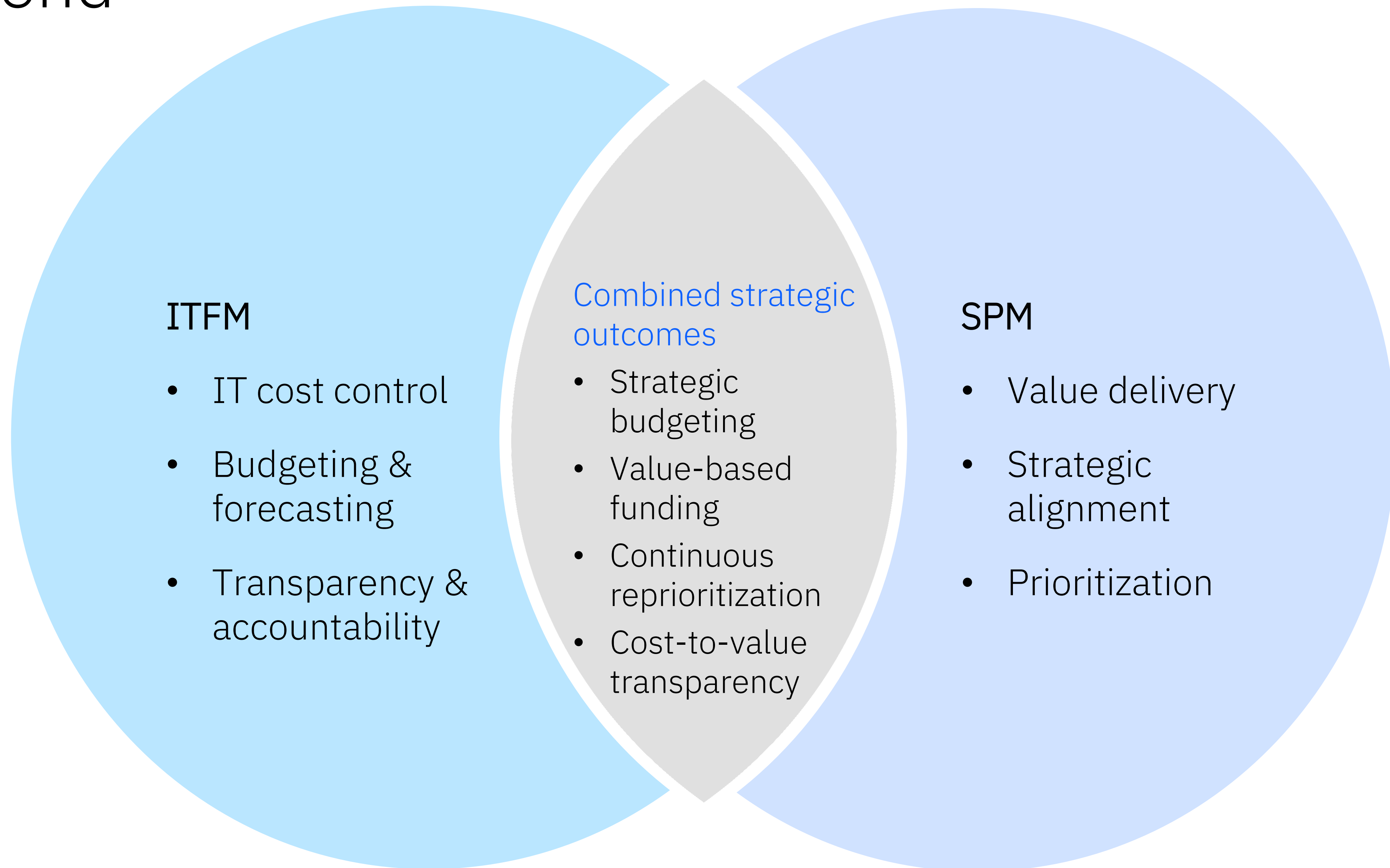
Strained business relationships

Greater transparency & trust

A framework for aligning ITFM & SPM

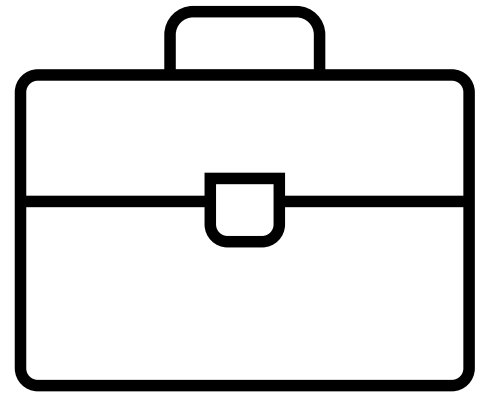


Maximizing value of IT spend



Seller resources
and contacts

IBM Apptio seller resources and contacts

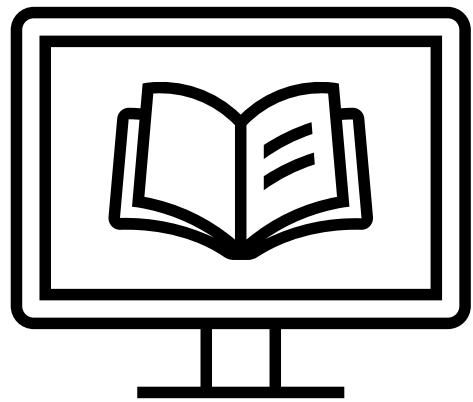


- [IBM Apptio Costing](#)
- [IBM Apptio Planning](#)
- [IBM Apptio Billing](#)
- [IBM Apptio Benchmarking](#)
- [Pricing cheatsheet](#)
- [Apptio page](#)



Find the help that you need:

- **Sales** related questions - [#apptio-sales-ama](#)
- **Technical and product** related questions - [#apptio-tech-ama](#)
- **Workspaces** – Software Sales, Technology Sales, Ecosystem



Where can I get IBM sales and technical support for Apptio opportunities? Contact an IBM Apptio SME

Sales SMEs

- WW Apptio Sales Integration Executive - [Keith Whitehead](#)
- Americas - [Andrew Myers](#)
- EMEA - [Thomas Taschner](#)
- APAC - [Brent Butchard](#)
- Japan - [Akiko Ueno](#)

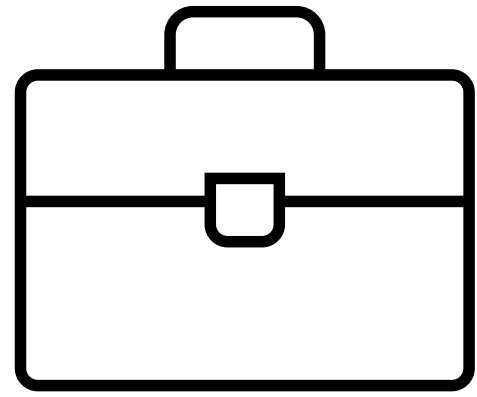
Ecosystem

- [Burt Hughes](#)
- [Claudia Romero](#)

Services

- [Brent Murray](#)
- [Saumi Patel](#)

IBM Targetprocess seller resources and contacts

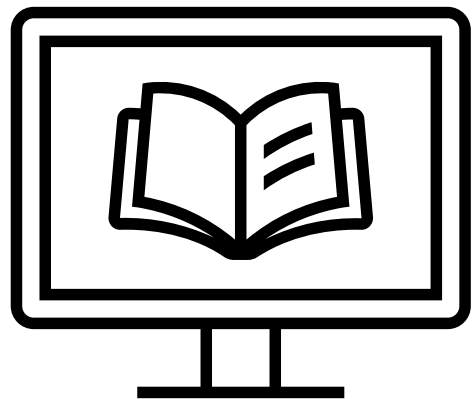


- [Explore IBM Targetprocess](#)
- [IBM Targetprocess Sales Kit](#)
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